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CONTRACTING · POST-AWARD RISK

# FAR Changes and Termination Clauses: Who Eats the Loss

*One hypothetical small-business task order, from award to termination for convenience, and the FAR clauses that decide who pays at each turn.*

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READING TIME · 7 MIN
FAR · FAR-OVERHAUL · CHANGES-CLAUSE · TERMINATION-FOR-CONVENIENCE · CONTRACT-DISPUTES-ACT · EQUITABLE-ADJUSTMENT · SMALL-BUSINESS

A small business wins its first prime task order and reads the performance work statement far more often than the clauses incorporated by reference at the back. That is backwards. The statement of work says what the company must do; the clauses say who pays when the work stops looking like the statement of work, and in a fixed-price order that is the whole of the company's margin. Follow one order from award to its early end and the pattern is plain: the government holds the right to change, pause and cancel the deal, and the contractor keeps its money only by writing things down on a clock it usually does not know is running.

The order here is hypothetical but ordinary: twelve months of firm-fixed-price cybersecurity engineering support, bought as a noncommercial service, so it carries 52.243-1 Changes-Fixed-Price with Alternate I, 52.242-15 Stop-Work Order, 52.249-2 Termination for Convenience, 52.249-8 Default and 52.233-1 Disputes. How contract type spreads cost risk was Issue 58's subject; this is what happens after the type is chosen.

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FAR

## Month three: the COR asks for one more thing

In week eleven the contracting officer's representative, helpful and on site every day, asks the team to extend the configuration baseline work to forty servers that were not in the inventory attached to the order. It is about six weeks of work for three engineers, and nobody wants to say no.

This is where the money starts to leak, and the FAR is blunt about why. The overhauled 43.202(a) says only contracting officers acting within their authority may modify a contract, and that other government personnel shall not "direct or encourage the contractor to perform work that should be the subject of a contract modification." The Federal Circuit enforced the rule in *Winter v. Cath-dr/Balti Joint Venture* (2007), holding that changes approved by a government project manager without contracting officer authority did not bind the government. Extra work done on a COR's word can turn into a gift.

The doctrine of constructive change exists for that gap, when government conduct short of a written order effectively changes the work, but the contractor has to make the record that proves it. The overhauled 43.204 tells a contractor who believes the government has made an unwritten change to notify the government in writing "as soon as possible." The more detailed 52.243-7 Notification of Changes is optional, and 43.206 aims it primarily at negotiated research and development or major-system supply contracts, so a services order like this one usually will not carry it. Its list of what a notice should contain is still the best checklist written.

So on the day the COR asks, the company writes to the contracting officer, copying the COR: the date, who asked and what was said, the inventory the order priced and the forty servers it did not, the estimated labor and schedule effect, and a request to confirm the change, countermand it, or say it is not one. The team opens a separate charge code for the added servers from the first hour.

**30 days**
TO ASSERT A RIGHT TO ADJUSTMENT AFTER A WRITTEN CHANGE ORDER UNDER 52.243-1(C), AND AGAIN AFTER A STOP-WORK ORDER ENDS UNDER 52.242-15(B)

**$100,000**
ABOVE THIS, A CONTRACTOR'S DEMAND FOR MONEY IS NOT A CONTRACT DISPUTES ACT CLAIM UNTIL IT CARRIES THE CERTIFICATION IN 52.233-1(D)

**1 year**
FROM THE EFFECTIVE DATE OF A TERMINATION FOR CONVENIENCE TO SUBMIT THE FINAL SETTLEMENT PROPOSAL UNDER 52.249-2(E), ABSENT A WRITTEN EXTENSION

**6 years**
FROM ACCRUAL TO SUBMIT A CLAIM TO THE CONTRACTING OFFICER UNDER 52.233-1(D)(1)

## Month five: an REA, and the clock behind it

The contracting officer confirms she wants the work and asks for a proposal: a request for equitable adjustment, which is a negotiation, not a lawsuit. Had she issued a written change order instead, 52.243-1(c) would have given the company 30 days from receipt to assert its right to an adjustment. A later proposal may be accepted before final payment, but only at the contracting officer's discretion.

The distinction between an REA and a claim carries money of its own. Under the Federal Circuit's *Bill Strong Enterprises v. Shannon* (1995) line of cases, the cost of preparing an REA to resolve a matter by negotiation can be an allowable contract administration cost. Once the matter becomes a Contract Disputes Act claim, 31.205-47(f)(1) makes the cost of prosecuting it unallowable. Book the hours for each under separate codes.

If talks stall, the company converts the REA into a claim under 52.233-1: a written demand, as a matter of right, for a sum certain. Above $100,000 it is not a claim until an authorized official signs the clause's certification, word for word. The contracting officer then has 60 days to decide or say when a decision will come, interest runs from the day the certified claim is received, and the company has six years from accrual to file at all. A final decision starts two shorter clocks: 90 days to appeal to the board of contract appeals, or 12 months to file at the Court of Federal Claims. A small business with a claim of $150,000 or less may elect the board's small claims procedure.

*A cost you cannot isolate is a cost you cannot recover, and the time to isolate it is the first hour of the work.*

## Month seven: stop work, then a cure notice

A funding problem upstream reaches the order as a stop-work order under 52.242-15. The clause gives the government up to 90 days, extendable by agreement, after which the contracting officer must cancel the order or terminate the work. The company must comply immediately and take all reasonable steps to minimize costs allocable to the stopped work, which means moving engineers to other billable work where it can and documenting why it could not move the rest.

When the order is lifted, the company has 30 days after the stoppage ends to assert its right to an equitable adjustment. Idle labor, remobilization and the schedule slip belong in it, and the government will ask what the company did to keep that bill down.

Two weeks after work resumes, a cure notice arrives complaining that a deliverable is late. Under 52.249-8, a default for failure to make progress or perform other provisions requires first giving the contractor 10 days to cure. The answer is a prompt written response that ties the late deliverable to the stop-work order, because 52.249-8(c) excuses failures arising from acts of the government in its contractual capacity. If the government defaulted the company anyway and the default was later found improper or excusable, paragraph (g) would convert it into a termination for convenience. The letter written during those 10 days is the evidence that earns that conversion.

## Month ten: the termination for convenience

The program is restructured and the contracting officer terminates the remainder of the order for convenience under 52.249-2. The government needs no reason beyond its own interest, and anticipated profit on the unperformed work is gone. What the company can recover is set out in the clause.

On notice, the company stops work, terminates related subcontracts and protects anything the government may take title to. Inventory schedules are due within 120 days. The final settlement proposal is due within one year of the effective date of termination unless the contracting officer extends it in writing on a request made inside that year. Paragraph (j) is unforgiving: miss the deadline without having asked for an extension and the company loses its right to appeal the contracting officer's determination.

The overhauled 49.206-2 prefers the inventory basis, but directs the total cost basis on Standard Form 1436 for a completely terminated lump-sum professional services contract, and the termination contracting officer may approve it where inventory accounting is impractical. Under the total cost basis the company

**◆ WHICH FAR TEXT THIS PIECE CITES**

The Revolutionary FAR Overhaul rewrote these parts as model deviation text on acquisition.gov - Part 43 issued June 12, 2025, Parts 33 and 49 on August 21, 2025, Part 42 on September 30, 2025, and Part 52 on October 28, 2025, updated July 1, 2026. DoD adopted Parts 43, 49 and 33 by class deviations 2026-O0034, 2026-O0010 and 2026-O0026 effective February 1, 2026, and Part 42 by 2026-O0050 effective March 16, 2026. Quotations here are from that overhaul text. The clause numbers did not change; several prescriptions moved, so the stop-work clause is now prescribed at 42.1005(b) and Notification of Changes at 43.206. Your order is governed by the clause text and date printed in it, not by whatever the website says today.

**◆ IF THE ORDER WAS BOUGHT AS COMMERCIAL**

Most of this story changes under 52.212-4. Its Changes paragraph allows changes only by written agreement of the parties, so there is no unilateral change order to price. Its paragraph (l) pays a termination for convenience as a percentage of the contract price for work performed plus reasonable charges shown "using its standard record keeping system," with no cost principles, no cost accounting standards and no government audit right. FAR Part 49 is guidance only for those contracts. Check the clause list on the order before you plan anything else in this piece.

presents the costs it incurred on the order, plus subcontractor settlements and a profit allowance on work done. Settlement expenses, meaning the accounting, legal and clerical cost of preparing the proposal, are generally allowable under 31.205-42(g), unlike claim prosecution costs. Two limits bound it. Apart from settlement expenses, the amount cannot exceed the contract price less payments made and the price of work not terminated. And if the order would have lost money had it run to completion, 52.249-2(g) allows no profit and reduces the settlement by the indicated rate of loss.

Here the earlier months come due. A company that logged the COR's request, separated its charge codes, minimized its stop-work costs on paper and answered the cure notice in writing walks into the settlement with a cost record that supports itself. Its indirect rates count as much as its direct hours, so booking decisions made long before show up here too. A company that did none of that negotiates from its memory against the government's file, and the government's file usually wins. ◆


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